

BUSINESS REQUIREMENTS DOCUMENT

Self-Service Order Returns & Refunds

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Version: 1.0 — Draft for review

Status: In review with Product & Engineering

Version History

Version	Date	Change
0.9	[Date]	Initial draft circulated to Product & Engineering for review
1.0	[Date]	Added manual-review threshold for high-value items (\$300+) after Engineering flagged fraud exposure in auto-approval-only design; added US-02 edge-case routing criterion accordingly

1. Purpose

This document defines the business requirements for a self-service returns and refunds capability on the e-commerce platform. It gives customers the ability to initiate, track, and receive resolution for eligible returns without contacting support, reducing manual handling while keeping fraud and finance controls intact.

2. Business Problem & Current State

Support currently handles returns manually: customers email or call to request a return, an agent checks eligibility by hand, and refunds are issued after a separate warehouse confirmation arrives days later. This creates delay, inconsistent decisions between agents, and a fully avoidable support load during peak periods.

Current state (baseline, last quarter)

- Average time from return request to refund issued: 6.5 days
- Return-related support tickets: ~12,000 per month
- Estimated fully-loaded support cost of manual return handling: \$340K annually
- Agent eligibility decisions vary case-by-case; no consistent audit trail for finance

Objectives

- Let customers self-serve standard returns end-to-end, with no agent involvement for the common case.
- Cut average time-to-refund from 6.5 days to under 3 business days post-inspection.
- Reduce return-related support ticket volume by an estimated 40% (~4,800 tickets/month).
- Keep manual review for edge cases (high-value, final-sale, suspected abuse) rather than removing human judgment entirely.

3. Scope

In scope

- Return initiation from order history, for eligible items and order states.
- Automated eligibility rules engine (window, category, order status).
- Prepaid label generation via existing carrier integration.
- Warehouse inspection status feeding refund trigger.
- Customer notifications at each status change.

Out of scope

- Exchanges (item-for-item swap) — planned as a phase 2 extension of this flow.
- International returns with customs handling.
- Changes to the underlying payment gateway or refund settlement rails.

4. Stakeholders

Role	Interest	RACI
VP of Customer Experience	Owns CSAT and support cost targets	Accountable
Product Manager, Post-Purchase	Owns feature scope and roadmap	Responsible
Business Analyst (you)	Requirements, process, acceptance criteria	Responsible
Engineering Lead, Fulfillment	Feasibility, integration with WMS	Consulted
Customer Support Manager	Ticket volume, agent workflow impact	Consulted
Finance / Payments	Refund reconciliation, fraud controls	Consulted
Warehouse Operations	Inspection process, restocking	Informed

5. Assumptions & Constraints

- Carrier label API and WMS webhook integration already exist and are stable.
- Return window and category eligibility rules are configurable by Product without a code deploy.
- Finance requires every refund to be traceable to a specific inspection record for reconciliation.
- Initial launch targets web and mobile web; native app parity is a fast-follow.

6. Functional Requirements — User Stories

Stories are written for direct import into the team's backlog, with acceptance criteria in Given/When/Then-equivalent form condensed to plain bullets for readability.

US-01 Initiate a return from order history

As a customer, I want to start a return from my order history so that I don't need to contact support for eligible items.

Acceptance criteria:

- A "Return item" action is visible on eligible orders within the return window (default 30 days from delivery).
- Customer selects one or more items and a reason from a predefined list.
- Ineligible orders (past window, final-sale, gift cards) show a disabled state with a tooltip explaining why.

US-02 Automatic eligibility check

As a customer, I want to know immediately whether my return is approved so that I'm not left waiting on a manual decision for standard cases.

Acceptance criteria:

- System checks item category, return window, and order status in real time (< 3 seconds).
- Standard eligible returns are auto-approved without agent involvement.
- Edge cases (used/final-sale/high-value >\$300) are routed to a support queue for manual review, with the customer notified of the delay.

US-03 Generate a prepaid return label

As a customer, I want a prepaid shipping label generated automatically so that I can send the item back without extra steps.

Acceptance criteria:

- On approval, a prepaid label (PDF + emailed link) is generated via the carrier API within 1 minute.
- Label cost is deducted from the refund per policy, or waived for defective/incorrect-item reasons.
- Customer can access the label again anytime from order history for 14 days.

US-04 Warehouse inspection updates return status

As a warehouse operator, I want to log inspection results against the return so that refunds only trigger for verified returns.

Acceptance criteria:

- Scanning the return barcode opens the associated return record in the WMS.
- Operator marks item as Accepted, Damaged, or Not-as-described, with an optional photo upload.
- Status change fires a webhook to update the customer-facing order status within 2 minutes.

US-05 Refund processed and customer notified

As a customer, I want my refund processed automatically once my return is accepted so that I don't have to follow up.

Acceptance criteria:

- On "Accepted" status, refund is issued to the original payment method within 1 business day.
- Customer receives an email/SMS with refund amount and expected posting time.
- "Damaged" or "Not-as-described" statuses route to support review before any refund is issued.

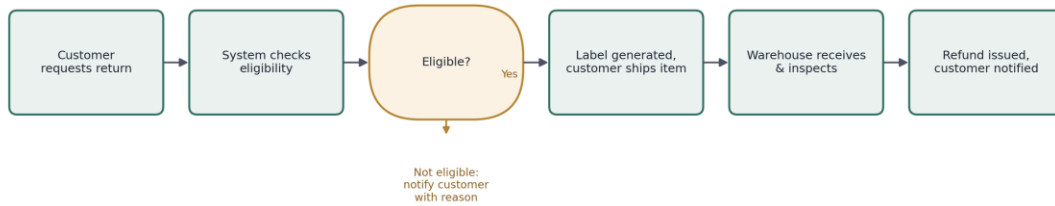
6a. Requirements Traceability

Each story maps back to a stated objective, so scope decisions can be defended against the business case rather than judged in isolation.

Story	Traces to objective
US-01, US-02	Let customers self-serve standard returns end-to-end
US-02	Keep manual review for edge cases / fraud control
US-03	Cut average time-to-refund
US-04, US-05	Cut average time-to-refund; auditable finance trail
US-01 through US-05 (self-serve path)	Reduce return-related support ticket volume by ~40%

7. Process Flow

End-to-end flow from return initiation to refund, including the manual-review branch for ineligible or flagged cases.



8. Non-Functional Requirements

Category	Requirement
Performance	Eligibility check responds in < 3 seconds at peak load (holiday returns spike).
Availability	Return flow available 99.9% uptime; degrades gracefully to a support-ticket fallback.
Auditability	Every status change is logged with timestamp and actor for finance reconciliation.
Security	Refund actions restricted to system + authorized finance roles; no direct DB writes.
Accessibility	Return flow meets WCAG 2.1 AA (keyboard nav, screen-reader labels).

9. Risks & Mitigations

Risk	Impact	Mitigation
Serial returners abuse auto-approval to launder used items	Margin loss, inventory of unsellable stock	Flag accounts exceeding a return-rate threshold for manual review instead of auto-approval
Carrier label API downtime blocks label generation	Customer cannot complete return, ticket volume spikes	Queue failed requests and retry; fall back to a manual label request after 3 failed attempts
Refund issued before warehouse inspection completes	Refund without item recovery, direct financial loss	Hard gate: refund trigger fires only on an "Accepted" WMS status, never on label creation
Eligibility rules drift out of sync between web and mobile web	Inconsistent customer experience, support confusion	Single shared rules-engine service consumed by both surfaces, not duplicated logic

10. Success Metrics

Measured 90 days post-launch to confirm the feature delivered against Section 2's objectives, not just that it shipped.

Metric	Target (90 days post-launch)
Self-serve completion rate (started → refunded without agent touch)	≥ 70% of eligible returns
Average time from return request to refund issued	≤ 3 business days
Return-related support ticket volume	↓ 40% vs. pre-launch baseline
Manual-review queue size (flagged/edge cases)	≤ 15% of total return volume
Return-abuse rate (flagged accounts / total returning accounts)	No increase vs. pre-launch baseline

11. Open Questions

- Should partial refunds (one item from a multi-item order) be split by line item or held until all items in the return arrive?
- What is the policy for return-shipping cost when the reason is "changed mind" versus a platform/seller error?
- Does the manual-review queue need its own SLA reporting, or does it roll into general support SLAs?